

Multiple Choice

1. **Answer:** D

Options: A) increase aggregate demand and decrease real GDP.; B) decrease aggregate demand and decrease real GDP.; C) decrease aggregate demand and increase real GDP.; D) have no impact on aggregate demand and real GDP.

Note: Correct option: D - have no impact on aggregate demand and real GDP.

2. **Answer:** D

Options: A) M stands for the money supply and Q stands for quality.; B) V stands for the velocity of GDP and Q stands for quality.; C) P stands for the price level and Q stands for quarter.; D) P stands for the price level and V stands for the velocity of money.

Note: Correct option: D - P stands for the price level and V stands for the velocity of money.

3. **Answer:** B

Options: A) the value of the dollar falls as the supply of dollars increases.; B) the value of the dollar rises as demand for dollars increases.; C) the value of the dollar falls as demand for dollars decreases.; D) the value of the dollar rises as the supply of dollars increases.

Note: Correct option: B - the value of the dollar rises as demand for dollars increases.

4. **Answer:** C

Options: A) The wage that is paid to the assistant manager; B) The cost of purchasing canned goods from a wholesale food distributor; C) The value placed on the owner's skills in an alternative career; D) The cost of cooling the refrigerated meat display

Note: Correct option: C - The value placed on the owner's skills in an alternative career

5. **Answer:** D

Options: A) will charge the highest price it can on the demand curve; B) has a horizontal marginal revenue curve; C) has an upward sloping total revenue curve; D) faces a downward sloping demand curve

Note: Correct option: D - faces a downward sloping demand curve

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: '125'.

7. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'implementing innovative production techniques.'
8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'increasing opportunity cost of time'.
10. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** current-account or financial-account only. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** An increase in demand increasing the interest rate.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key